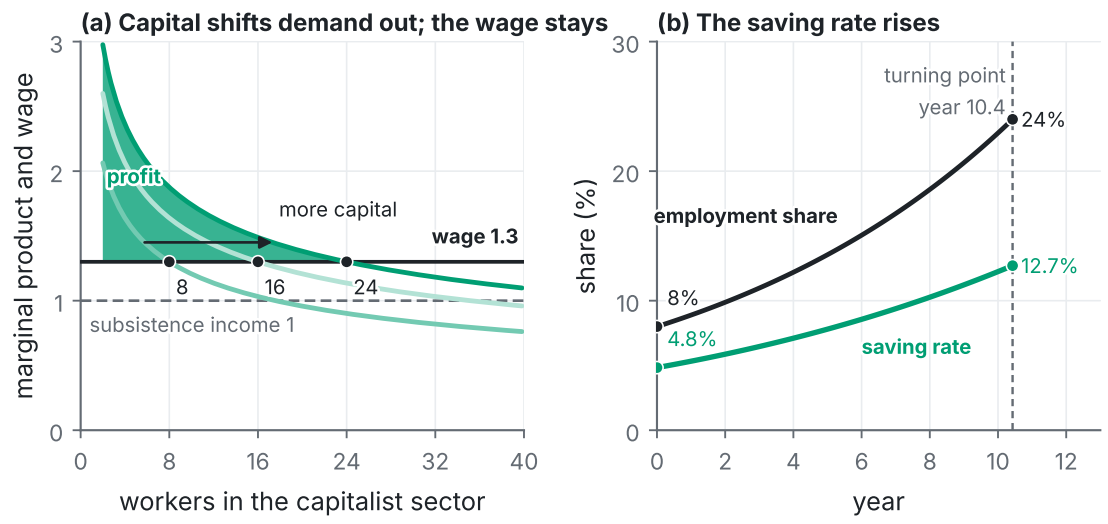
(a) Capital shifts demand out; the wage stays
marginal product and wage
3
2
1
0
profit
more capital
wage 1.3
8
16
24
subsistence income 1
0
8
16
24
32
40
workers in the capitalist sector
(b) The saving rate rises
share (%)
30
20
10
0
turning point
year 10.4
24%
employment share
8%
12.7%
4.8%
saving rate
0
2
4
6
8
10
12
year